

Paystack vs Payfast: Usage Cases and Recommendation

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Executive summary: For your current SaaS direction (API-first, recurring billing, conversion product), **Paystack is the better default**. Payfast is strongest when you need broad South African payment-method coverage and plugin-heavy ecommerce rollouts.

1) Snapshot Comparison

Category	Paystack	Payfast	Why it matters for us
Core SA card pricing	2.9% + R1 (local cards)	3.2% + R2 (cards)	Lower variable and fixed fees improve unit economics on SaaS plans.
SA EFT pricing	Capitec Pay / Ozow EFT: 2% (no flat fee)	Instant EFT: 2% (minimum R2)	Low-ticket checkouts are penalized by minimum EFT fee.
Payout charges	All payouts are free	R8.70 per payout; immediate payout 0.8% (min R14)	Cash-out friction matters for frequent settlement.
Recurring billing controls	Subscriptions API + recurring charges from saved authorization	Subscriptions + tokenization + dashboard/API controls	Both can do recurring; implementation style and economics differ.
Local method breadth	Solid SA rails (cards, Capitec Pay, QR/Scan-to-Pay paths, Ozow provider)	Broader method mix (18+ methods claimed on site)	Payfast wins when method coverage breadth is the top priority.
Integration approach	Strong API-first docs and flows	Strong plugin + gateway ecosystem	For Next.js custom product flows, API-first usually ships faster.

Inference note: The final column includes applied interpretation for Website Roast AI (SaaS product context), not direct vendor claims.

2) Usage-Case Decision Matrix

Usage case	Better fit	Reason
API-first SaaS app (custom checkout, own backend)	Paystack	Lower base card cost and strong recurring authorization patterns for product-led flows.
SaaS subscriptions + low-ticket add-ons	Paystack	No flat EFT fee for Capitec/Ozow and lower card fixed fee improve margin at smaller order sizes.
Ecommerce with max local method variety	Payfast	Explicitly markets 18+ payment methods and deep plugin ecosystem.
Merchant asks for fastest plugin setup	Payfast	70+ plugins and gateway-first orientation reduce custom dev effort.
Cashflow-sensitive operations	Paystack	No payout charge listed; Payfast adds payout fee and optional immediate payout surcharge.
Need both recurring and one-click card charging	Tie (slight edge Paystack for our stack)	Both support recurring/tokenized flows; edge depends on method coverage vs API preference.

3) Cost Analysis Scenarios (ex VAT)

Scenario	Gross	Paystack fees	Payfast fees (+payout)	Paystack advantage
SaaS recurring (500 x R299, card-heavy)	R149,500.00	R4,835.50	R5,818.80	R983.30
Mixed checkout (1,200 x R450, 70% card / 30% EFT)	R540,000.00	R15,042.00	R17,050.80	R2,008.80
Low-ticket funnel (3,000 x R49, 50% card / 50% EFT)	R147,000.00	R5,101.50	R8,386.80	R3,285.30

Model assumptions: Paystack local card 2.9% + R1; Paystack Capitec/Ozow EFT 2% no flat fee; Payfast card 3.2% + R2; Payfast Instant EFT 2% min R2; Payfast payout R8.70 each. Where custom enterprise pricing applies, actuals may differ.

4) Recommendation for Website Roast AI

Recommendation: Use **Paystack** as **primary** for Phase 1 billing.

Why: Your product is a custom SaaS app (Next.js + API routes + Supabase), so API-first speed, predictable recurring flows, and stronger fee economics at SaaS price points matter most.

When to add Payfast as a second rail: If live data shows a large share of failed/abandoned checkouts because users request payment methods outside the default Paystack set, or if plugin-based merchant deployments become a major revenue line.

Practical rollout: 1) Ship Paystack checkout + webhook entitlement updates. 2) Track failed checkout reasons and preferred payment methods. 3) Re-evaluate dual-provider setup after 4-8 weeks of conversion data.

5) Sources (official pages, accessed 09-04-2026)

Paystack South Africa Pricing: <https://paystack.com/za/pricing>

Paystack Payment Channels docs: <https://paystack.com/docs/payments/payment-channels/>

Paystack Subscriptions docs: <https://paystack.com/docs/payments/subscriptions/>

Paystack Recurring Charges docs: <https://paystack.com/docs/payments/recurring-charges/>

Payfast Fees: <https://payfast.io/fees/>

Payfast Subscriptions feature: <https://payfast.io/features/subscriptions/>

Payfast Tokenization feature: <https://payfast.io/features/tokenization/>

Payfast collection/payout process:

<https://support.payfast.help/portal/en/kb/articles/collection-and-payout-process-20-9-2022>